

中国銀行

410 MADISON AVENUE
NEW YORK, NY 10017
TELEPHONE: (212) 935-3101

BANK OF CHINA

NEW YORK BRANCH

TELEX: ITT 429335, WU 661723
TRF 177383
SWIFT: BKCH US 33

LETTER OF CREDIT ADVICE

OUR ADVICE NUMBER: LCX688NY1765
BENEFICIARY: [900900590-PAS] ISSUING BANK: [900900492-IBC]
DATE: MAY 17, 1988

VULCAN IRON WORKS INC
2909 RIVERSIDE DRIVE
CHATTANOOGA TN 37406

ADVISED THROUGH:
BOHAI OIL CORP. OF CHINA NATIONAL
OFFSHORE OIL CORP., TANGGU, CHINA

FIRST ADVISING BANK:

Reference:
LETTER OF CREDIT 21088047
CREDIT AMOUNT USD167,303.37
DATED MAY 6, 1988

At the request of the above mentioned issuing bank, we forward to your their letter of credit issued in your favor.

Unless otherwise specified, documents presented to us in order, ordinarily, will be despatched to the issuing bank for payment after our negotiation. Payment will be effected upon our receipt of funds from the issuing bank, or the reimbursing bank.

It is requested that the ORIGINAL Letter of Credit and it's amendment(s) to be presented along with your documents at time of negotiation, together with one additional copy each, of commercial invoice and B/L or AWB.

This is solely an advice of Letter of Credit and conveys no engagement on the part of Bank of China, New York.

OUR BANK CHARGES FOR YOUR ACCOUNT AS FOLLOWS: [ADV COMM] [\$30.00]
[] WE HAVE DEBITED YOUR ACCOUNT WITH US [CFM COMM] [\$]
[x] PLEASE PAY BY CHECK, QUOTING OUR LCX688NY1765 [POSTAGE] [\$]
[] [TELEX] [\$]
[] [FAX] [\$]
[] TOTAL CHGS: \$30.00

PLEASE ACKNOWLEDGE RECEIPT
Very truly yours,
Bank of China, New York

(Please sign & return pink copy) (authorized signature)

ORIGINAL

中国銀行

Bank of China
XINGANG 2 LU TANGGU CHINA

Date MAY 6, 1988

ORIGINAL

To Beneficiary: 1. VULCAN IRON WORKS INC. 2909 RIVERSIDE DRIVE, CHATTANOOGA TN 37406 U.S.A.		IRREVOCABLE DOCUMENTARY CREDIT NO. 21088047 valid for negotiation in U.S.A. until JULY 15, 1988 Amount: USD167,303.37(USD ONE HUNDRED SIXTY SEVEN THOUSAND THREE HUNDRED AND THREE POINT THIRTY SEVEN ONLY) CIF	
Transmitting Bank: BANK OF CHINA NEW YORK U.S.A.		Applicant: BOHAI OIL CORPORATION OF CHINA NATIONAL OFFSHORE OIL CORPORATION TANGGU CHINA	
Dea r Sirs: We hereby issue in your favour this documentary credit which is available by your draft(s) at sight for 100% invoice value on us marked as drawn under this credit and accompanied by the following documents marked with numbers: (1) Signed commercial invoice in 4 copies indicating contract No. and L/C No. (2) Full set of clean on board ocean bills of lading made out to order and blank endorsed marked "Freight Prepaid" notifying China National Foreign Trade Transportation Corp. at destination (3) Packing list/weight memo in 4 copies showing quantity/gross and net weight for each package (4) Certificate of quality in 4 copies issued by the manufacturer (5) Insurance policy evidencing shipment of: 88SLB0COE-040 Spare parts for the vulcan 560 USD167,303.37 Price term: CIF XINGANG PORT USD167,303.37 Packing: TO BE PACKED IN STRONG WOODEN CASE(S) Documents to be presented within 15 days after date of shipment. This credit is subject to U.C.P.D.C. (1983 revision) Pub. No.400. BANK OF CHINA - NEW YORK REFERENCE NUMBER: 688NY1765			
Shipment from New Orleans to Xingang port not later than June 30, 1988		Partial shipments not allowed	Transshipment not allowed
Special Instructions: We hereby undertake that all drafts drawn under and in compliance with the terms of this credit will be duly honored on presentation at this office.		for BANK OF CHINA TANGGU BRANCH Authorized Signature 4880 LU FENGJUN	

All documents to be presented to us in one lot by air available airmail.